

European Cross-Commodity Risk Pack: Gas + Carbon □ Power Curve Implications

Daily desk brief — 2026-05-08
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Generated by `scripts/generate_brief.py`. AI narrative + news themes via Anthropic Claude.

□ **Data-freshness caveat:** Clean Dark (last 2025-12-31, 128d old); Coal (last 2025-12-26, 133d old). Numbers below should be read with this in mind.

1 · Executive summary

TL;DR — GB Power at 93rd percentile amid tight renewables (18th pctile) and low storage (11th pctile); Hormuz reopening eases crude-TTF arb but geopolitical tail-risk remains; watch Libya gas ramp and EU methane exemption scope.

GB Power has spiked to the 93rd percentile at 126.88 EUR/MWh as renewable generation collapsed to just 27% of load (18th percentile), forcing near-total reliance on gas and coal dispatch while storage sits at 34.3%, 12.4 percentage points below seasonal norms. The Clean Spark spread remains in-the-money at the 92nd percentile (+23.73 EUR/MWh month-on-month), anchoring a sustained gas-preferred merit order despite coal lingering at the 8th percentile; however, with coal data 133 days old and Clean Dark 128 days old, those spread conclusions rest on current Clean Spark and power reads. Geopolitical supply diversification—Hormuz reopening, Libya gas ramp feasibility, and pending EU methane exemption scope—eases macro TTF pressure but introduces binary execution risk; the exemption guidance due Thursday is key to determining whether gas-import cost friction abates. With tight renewables, storage deficit, and Clean Spark in-the-money against a flat EUA mid-range, Hormuz stabilization and Libya production timelines will determine whether the front-curve tightness persists or the Cal+1 regime transitions as supply diversification backstops take hold.

Generated by **claude-haiku-4-5** via Anthropic API (two-pass extract □ narrate). Prompts/responses logged to `ai/logs/`.

2 · Monitor metrics

Primary (cross-commodity headline tiles)

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
TTF Gas	2026-05-07	43.56	EUR/MWh	-0.78%	+1.04%	56	Within typical range
EU Storage	2026-05-06	34.26	% full	+0.03%	+4.50%	11	12.4 pp below the 5-yr seasonal average
EUA Carbon	2026-05-07	31.54	EUR/tCO2	-1.47%	+1.75%	26	Within typical range
DE Power	2026-05-08	138.00	EUR/MWh	+1.42%	+93.57%	76	Within typical range
GB Power	2026-05-08	126.88	EUR/MWh	-7.87%	+22.67%	93	93th-percentile of 5-yr range — historically high
Renewables	2026-05-07	27.07	% of load	-32.82%	-41.24%	18	Within typical range

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Clean Spark	2026-05-08	39.27	EUR/MWh	+1.94	+78.90	92	92th-percentile of 5-yr range — historically high
Clean Dark	2025-12-31 STALE	27.95	EUR/MWh	-0.56	+11.63	50	Within typical range

Fundamentals inputs *(feed derived metrics; not separately traded)*

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Coal	2025-12-26 STALE	96.00	USD/t	-0.57%	+0.08%	8	8th-percentile of 5-yr range — historically low

Spreads $\square$ abs EUR/MWh deltas; others $\square$ pct. Weekly Δ uses 5d trailing means. Full history in `data/<metric>.csv`.

3 • Gas + LNG arb

TTF front-month prints at 43.56 EUR/MWh — *Within typical range*. **EU storage** at 34.3% full (-12.4 pp vs 5-yr seasonal avg) — *12.4 pp below the 5-yr seasonal average*.

4 • Carbon (EU ETS)

EUA December prints at 31.54 EUR/tCO₂ — *Within typical range*. A euro of EUA adds ~0.37 EUR/MWh to gas-fired and ~0.85 EUR/MWh to coal-fired generation cost; strength compresses the dark spread faster than the spark.

Supply / policy signal — *CBAM full operational phase live since 1 Jan 2026 — importers paying for embedded emissions*
Side: policy · Polarity: bullish EUA · Source: EU Regulation 2023/956 (CBAM)

Domestic carbon-cost burden gradually levelled with imports; supports EUA demand floor as carbon leakage protection tightens through 2034.

No ETS-relevant news surfaced today — falling back to `data/policy_facts.py` (hand-maintained structural fact pack). Fact pack last reviewed 2026-05-07 (1d ago).

5 • Power — Day-Ahead & curve

DE day-ahead baseload at 138.00 EUR/MWh — *Within typical range*. **GB day-ahead baseload** at 126.88 EUR/MWh — *93th-percentile of 5-yr range — historically high*. **DE – GB spread** at +11.12 EUR/MWh (DE premium) — drives interconnector flow direction.

Clean spark spread at +39.27 EUR/MWh — *92th-percentile of 5-yr range — historically high*. Bridge from gas + carbon fundamentals to gas-fired economics; sustained positive spark = TTF moves transmit directly into the power curve.

Dark spread suppressed: coal data 133d old (last 2025-12-26); spark alone carries the regime read.

DA / Cal+1 (model) at 138.00 / 91.15 EUR/MWh; spread +46.85 EUR/MWh — **backwardation**. Front absorbs storage and outage shocks; Cal+1 reflects the structural carbon-and-fuel trajectory. Cal+1 here is a backward-looking seasonality projection — see Methodology.

This week ahead

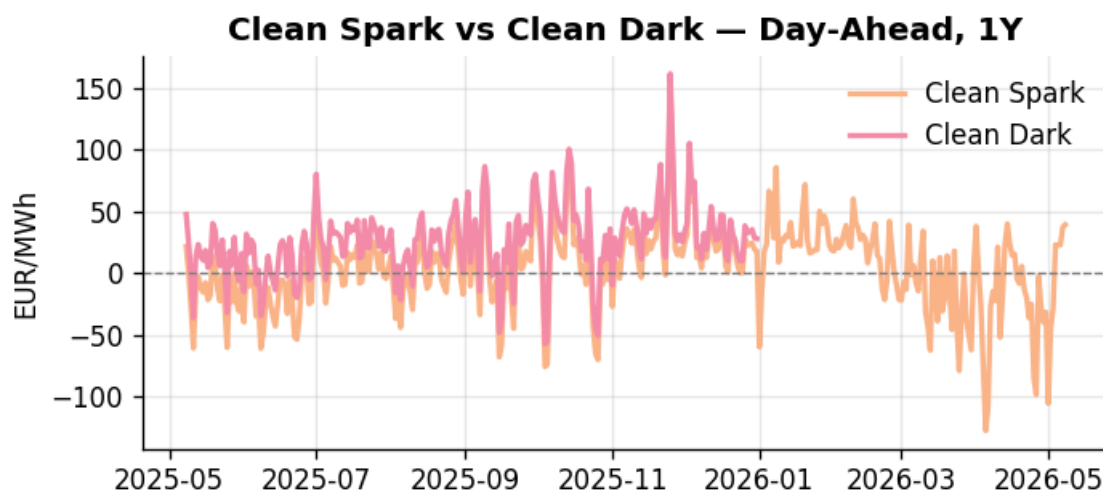


Figure 1: Clean Spreads

- **Fri 14:30 UTC** — EIA weekly natural gas storage report: US storage trajectory anchors LNG export pricing into NW Europe — direct TTF transmission.
- **Fri** — ENTSO-E weekly day-ahead volumes / system-balance summary: Reads the European generation mix in last 7d — confirms or breaks the Cal+1 thesis.
- **Tue 08:00 UTC** — AGSI+ daily storage print: First read on the week's gas injection / withdrawal pace; sets the tone for TTF curve shape.
- **Thu** — EU Commission methane exemption guidance expected: Release scope and timeline determines oil/gas cost relief; direct TTF and power merit-order impact. *(news-extracted)*

Scenarios (1w horizon)

	Summary	TTF	DE Power
Base	Renewables stabilize mid-20s % of load; storage inches higher; TTF midpoint holds. GB premium tightens modestly as supply diversification talk eases geopolitical premium.	-2% to +1%	-5% to +3%
Upside	Libya gas ramp delayed or Iran escalation re-disrupts Suez; renewables stay low; storage refill stalls. TTF and GB power spike on supply deficit and merit-order extension.	+8% to +15%	+12% to +20%
Downside	Hormuz fully reopens; Libyan gas ramps ahead of schedule; EU methane exemptions broad and swift. TTF eases; renewables recover; storage refill accelerates. Power curve softens.	-8% to -5%	-10% to -6%

Illustrative, not forecasts. Magnitudes sized off historical sensitivity; AI-generated from today's extract pass.

6 · Today's themes

Watchlist (1–4 weeks) - Hormuz corridor reopening pace and impact on crude–TTF arb next 2 weeks. - EU methane rule exemption guidance release date and scope definition.

*5 structured themes in `data/ai_news_themes.json` — **claude-haiku-4-5** from 17 headlines.*

*Methodology + sources: **README §Methodology**. Numbers auditable via the snapshot JSONs. Rule-based / informational — not investment advice.*